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Ramirez v. Subaru of America,
Inc., et al., Case No. 25PSCV02326

ORDER ON

DEMURRER AND MOTION TO STRIKE

1. Defendant Subaru of Ontario's Demurrer to
Plaintiff's Fifth Cause of Action For Negligent Repairs in the First Amended
Complaint Defendant is OVERRULED.

2. Subaru of America, Inc.'s. Demurrer To
Plaintiff's Sixth Cause of Action for Fraudulent Inducement—Concealment in the
First Amended Complaint is OVERRULED.

3. Defendants Ford Motor Company's Subaru of
Ontario and Subaru of America Inc.'s Motion to Strike Plaintiff's Fifth Cause of
Action for Negligent Repairs, Plaintiff's Sixth Cause of Action for Fraudulent
Inducement—Concealment, and Claim for Punitive Damages, in the First Amended
Complaint is DENIED.

Background

Plaintiff

Merari A. Ramirez ("Plaintiff") alleges as follows:

On

February 1, 2023, Plaintiff entered into a warranty contract with Defendant Subaru
of America, Inc. ("Subaru") regarding a 2023, Subaru Ascent, ("subject

vehicle”). The subject vehicle suffers from defects, “including, but not limited to, rough idle, stalling, loss of power, failure to start, failure of the stop/start feature, harsh shifts, slipping in gear, shuddering, hesitation on acceleration, jerking or jerky shifts, sudden automatic braking, erroneous warnings from the lane departure assist feature, the infotainment screen freezes, the dashboard lights do not illuminate, failure to connect to smart devices, and illumination of various warning lights.” (First Amend. Comp., ¶14.)

Plaintiff also alleges that Subaru of Ontario (“Ontario Subaru”) negligently completed the warranty repairs.

On June 25, 2025, and January 26, 2027, Plaintiff filed a complaint and first amended complaint, for statutory obligations, asserting causes of action against Subaru, Ontario Subaru (collectively, “Defendants”) and Does 1-10 for: (1) Violation of Civil Code section 1793.2, subd. (d), (2) Violation of Civil Code section 1793.2, subd. (b), (3) Violation of Civil Code section 1793.2, subd. (a)(3), (4) Breach of Implied Warranty of Merchantability, (5) Negligent Repair, and (6) Fraudulent Inducement – Concealment.

1. Demurrer

Legal Standard

A demurrer may be made on the grounds that the pleading, *inter alia*, does not state facts sufficient to constitute a cause of action and/or is uncertain. (Code Civ. Proc., § 430.10, subds. (e) and (f).)

When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905 [citations omitted].) At the pleading stage, a plaintiff need only

allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) “[A] demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction placed on an instrument pleaded therein, or facts impossible in law, or allegations contrary to facts of which a court may take judicial knowledge.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 [citations omitted].)

Discussion

Defendant

Ontario Subaru demurs to the fifth cause of action in the first amended complaint for negligent repairs on grounds that the claim is barred by economic loss doctrine.

Defendant

Subaru demurs to the sixth cause of action in Plaintiff's first amended complaint on the basis that Plaintiff fails to sufficiently articulate any basis of fraudulent inducement–concealment, and the cause of action is barred by the economic loss rule.

Merits

1. Fifth Cause of Action: Negligent

Repair

Ontario

Subaru challenges the negligence on grounds that economic loss doctrine bars the claim. Plaintiff counters that the economic loss rule will not bar claims for negligent performance of services. The claim extends beyond damage to the vehicle itself. Ontario Subaru in reply contends the cause of action applies to the vehicle as a defective product.

“The elements of any negligence cause of action are duty, breach of duty, proximate cause, and damages. (Peredia v. HR Mobile Services, Inc. (2018) 25 Cal.App.5th 680, 687.) The first amended complaint alleges an undertaking of a duty to repair the vehicle, and the failure to complete the repairs to industry standards. (Comp., ¶¶ 52-56.)

The economic loss rule bars tort recovery for property damage involving a seller or distributor. “[I]n actions arising from the sale or purchase of a defective product, plaintiffs seeking economic losses must be able to demonstrate that either physical damage to property (other than the defective product itself) or personal injury accompanied such losses; if they cannot, then they would be precluded from any tort recovery in strict liability or negligence. However, such authorities would seem to have little or no application when the commercial relationship of the parties does not involve the sale of goods or products, nor the rules developed under the law merchant and the Uniform Commercial Code, but rather relates only to the performance of services. It is established that where the commercial agreement between the parties involves the performance of services, the Commercial Code has no application.” (North American Chemical Co. v. Superior Court (1997) 59 Cal.App.4th 764, 780–781.)

Ontario Subaru is in no way alleged as a distributor or seller of the vehicle for purposes of the negligent repair claim. The cause of action arises from the provision of substandard mechanical repair services. The demurrer is overruled.

2. Sixth Cause of Action: Fraudulent Inducement—Concealment

Plaintiff's

sixth cause of action is based on presale concealment. Plaintiff alleges that Subaru knew of the defects with the 2.4L engine and related components, yet failed to disclose the information. (First Amend. Comp., ¶¶ 59, 61-63.) Plaintiff further alleges that the defects were non-public, internal company knowledge; that Subaru owed a duty to disclose the information yet instead knowingly concealed the information; and that Plaintiff would not have entered into the contract if the facts were disclosed. (Comp., ¶¶ 63-64, 66, 68-72, 73, 75-84.)

“[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff

must have sustained damage.” (Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248.)

There are “four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (Heliotis v. Schuman (1986) 181 Cal.App.3d 646, 651.) “[A] duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 337.)

Here, the fraudulent inducement cause of action is sufficiently pled under Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 844. The demurrer is overruled.

3. Economic Loss Rule

Subaru additionally challenges Plaintiff’s fifth cause of action on grounds of the economic loss rule. As referenced above, the First District, Division Four Court of Appeal in Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828 determined that in a contract case, a fraudulent inducement claim based in part on presale concealment falls within an exception to the economic loss rule. (Id. at 727 [“Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court, and plaintiffs allege fraudulent conduct that is independent of Nissan’s alleged warranty breaches”].) The demurrer is overruled on this basis as well.

2. Motion to Strike

Legal Standard

Pursuant to Code of Civil Procedure section 436, “the court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

(a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
(b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." The grounds for a motion to strike must "appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (Code Civ. Proc., § 437.)

Discussion

Subaru moves the court for an order striking out the following portions of Plaintiff's first amended complaint:

(1) Fifth Cause of Action for Negligent Repair

(FAC, ¶¶ 52-56, Page 8 lines 12-22);

(2) Sixth Cause of Action for Fraudulent

Inducement- Concealment (FAC, ¶¶ 57-80, Page 8 line 23 through Page 13 line 16); and (3) Prayer for Relief: "e. For punitive damages" (Complaint, page 13 line 23).

Subaru improperly files an alternative motion to strike the cause of action under economic loss doctrine, as raised in the demurrer. (PH II, Inc. v. Superior Court (1995) 33 Cal.App.4th 1680, 1682-1683 [While a demurrer is not the exclusive means to challenge a cause of action, a motion to strike generally applies to parts of a cause of action, claim for damages, or where the cause of action or primary right is barred as a matter of law]; see Quiroz v. Seventh Ave. Center (2006) 140 Cal.App.4th 1256, 1281 ["Where a whole cause of action is the proper subject of a pleading challenge, the court should sustain a demurrer to the cause of action rather than grant a motion to strike"].) Consistent with the demurrer, the motion to strike the fifth and sixth cause of action is denied.

Punitive damages may be awarded upon clear and convincing evidence that a defendant has been guilty of oppression, fraud, or malice. (Civ. Code § 3294, subd. (a).) "Malice" is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." "Oppression" is defined as "despicable conduct that subject a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code § 3294, subd. (b).) "Fraud" is defined as "an intentional misrepresentation, deceit, or concealment

of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294, subd. (c).)

Further, "[a]n employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation." (Civ. Code § 3294, subd. (b).)

A "conclusory characterization of defendant's conduct as intentional, willful and fraudulent is a patently insufficient statement of 'oppression, fraud, or malice. . .'" (Brousseau v. Jarrett (1977) 73 Cal.App.3d 864, 872.) "The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of oppression, fraud, or malice, but facts must be alleged in the pleading to support such a claim." (Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166.)

Consistent with the demurrer, the fraud allegations support the claim for punitive damages for purposes of ruling on the motion strike. The motion to strike is denied.

Defendants are directed to answer the first amended complaint within 10 days of this order.